Fixed Asset Register Analysis Memo

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	Fixed Asset Register — FY2025 Export
Source File	meridian_fixed_assets_fy2025.csv
Source Context	Exported from Meridian ERP (QuickBooks Enterprise) on Jan 15, 2026
Reference	FAT-2026-1023-202
Generated	23rd October 2026
Engagement Practitioner	Sarah M. Chen, CPA
Engagement Reviewer	James R. Whitfield, CPA, CIA
Report Status	Draft

Report generated by Paciolus® Diagnostic Intelligence. Engagement information entered by user.

I. Scope

```
Source ... Fixed Asset Register — FY2025 Export (meridian_fixed_assets_fy2025.csv)
Period Tested ... FY 2025 (January 1 – December 31, 2025)
Total Fixed Assets Tested ..... 250
Tests Applied ..... 10
Data Quality Score ..... 94%
```

Fixed Asset Roll-Forward — FY2025

Gross Cost:

```
Beginning Balance ..... $3,000,000.00
Additions During Period ..... + $420,000.00
Ending Balance (per Register) ..... $3,420,000.00
Per Trial Balance (PP&E gross) ..... $3,420,000.00
Variance ..... $0.00
```

Accumulated Depreciation:

```
Beginning Balance ..... $895,000.00
Depreciation Expense for Period ..... + $285,000.00
Ending Balance (per Register) ..... $1,180,000.00
Per Trial Balance (Accum. Depr.) ..... $1,180,000.00
Variance ..... $0.00

Net Book Value ..... $2,240,000.00
```

✓ Roll-forward reconciles to Trial Balance.

Depreciation Rate Analysis

```
Gross PP&E ..... $3,420,000.00
Depreciation Expense (Period) ..... $285,000.00
Effective Depreciation Rate ..... 8.3%
Implied Average Useful Life ..... 12.0 years
```

An effective depreciation rate of 8.3% implies an average asset life of approximately 12 years across the register. Assess whether this is consistent with the entity's asset mix and useful life policies.

Asset Register Composition

Asset Category	Count	Gross Cost	Accum. Depr.	Net Book Value	Avg. Age (yrs)
Building Improvements	28	$1,240,000.00	$412,000.00	$828,000.00	8.2
Equipment	95	$980,000.00	$385,000.00	$595,000.00	5.7
IT Equipment	72	$540,000.00	$298,000.00	$242,000.00	3.1

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.

Asset Category	Count	Gross Cost	Accum. Depr.	Net Book Value	Avg. Age (yrs)
Furniture	38	$420,000.00	$62,000.00	$358,000.00	2.4
Vehicles	17	$240,000.00	$23,000.00	$217,000.00	1.8
Total	**250**	**$3,420,000.00**	**$1,180,000.00**	**$2,240,000.00**	

The automated fixed asset register analysis procedures documented in this workpaper were performed on the fixed asset register provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

Proof Summary

Metric	Value
Data Completeness	94%
Column Confidence	95%
Tests Executed	10
Tests Clear	2
Items for Review	32

II. Methodology

The following automated tests were applied to the fixed asset register in accordance with professional auditing standards (ASC 360-10: Property, Plant, and Equipment, ISA 500: Audit Evidence, ISA 540: Auditing Accounting Estimates — depreciation methods, useful life, and residual value estimation, PCAOB AS 2501: Auditing Accounting Estimates). Results represent fixed asset anomaly indicators, not depreciation adequacy conclusions:

Test	Tier	Description
Fully Depreciated Still in Use	Structural	Flags assets where accumulated depreciation equals or exceeds cost (NBV zero or negative), indicating potential ghost assets or items requiring disposal review.
Missing Required Fields	Structural	Flags fixed asset entries missing critical register fields (cost, identifier, acquisition date), a data completeness anomaly indicator.
Negative Cost/Accum. Depr.	Structural	Flags assets with negative cost or negative accumulated depreciation, indicating data entry errors or improper adjustments.
Depreciation Exceeds Cost	Structural	Flags assets where accumulated depreciation exceeds original cost by more than 1%, indicating possible calculation errors or improper depreciation entries.
Useful Life Outliers	Statistical	Flags assets with useful life estimates outside reasonable bounds (below 0.5 years or above 50 years), an estimation anomaly indicator per ISA 540.
Cost Z-Score Outliers	Statistical	Uses z-score analysis to identify fixed assets with acquisition costs that are statistically unusual relative to the population distribution. Assets exceeding the configured z-score threshold from the mean cost are flagged for review as potential overstatement or data entry anomalies.

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.

Test	Tier	Description
Asset Age Concentration	Statistical	Flags disproportionate concentration of total asset cost in a single acquisition year, indicating potential bulk capitalization anomalies.
Duplicate Assets	Advanced	Flags assets with identical cost, description, and acquisition date — potential duplicate capitalization or double-counting.
Residual Value Anomalies	Advanced	Flags assets where the recorded residual (salvage) value is inconsistent with the asset type, useful life, or industry norms. Anomalies include residual values exceeding 30% of original cost, or negative residual values requiring documented justification per ISA 540.
Lease Asset Indicators	Advanced	Scans asset descriptions for keywords suggesting operating or finance leases (lease, ROU, right-of-use, leasehold). Flagged items should be confirmed for proper ASC 842 / IFRS 16 right-of-use asset treatment.

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

III. Results Summary

```
Composite Diagnostic Score ................. 21.5 / 100
Diagnostic Tier ..................... MODERATE (22/100)
```

Diagnostic Score Scale: 0–10 = Low | 11–25 = Moderate | 26–50 = Elevated | 51–100 = High

Basis: automated flag density — auditor judgment required per ISA 315. The diagnostic tier is an indicator, not a risk assessment or a conclusion on internal control.

```
Total Fixed Assets Flagged ........................ 32
Overall Flag Rate ............................. 12.8%
High Severity Flags ................................ 5
Medium Severity Flags ............................. 27
Low Severity Flags ................................. 0
```

Test	Flagged	Rate	Severity
Fully Depreciated Still in Use	12	4.8%	MEDIUM
Useful Life Outliers	5	2.0%	MEDIUM
Residual Value Anomalies	4	1.6%	MEDIUM
Missing Required Fields	3	1.2%	MEDIUM
Cost Z-Score Outliers	3	1.2%	MEDIUM
Depreciation Exceeds Cost	2	0.8%	HIGH
Duplicate Assets	2	0.8%	HIGH
Negative Cost/Accum. Depr.	1	0.4%	HIGH
Asset Age Concentration	0	0.0%	LOW
Lease Asset Indicators	0	0.0%	LOW

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.

IV. Key Findings

1. 2 assets with accumulated depreciation exceeding original cost

Suggested follow-up: As a priority follow-up action, investigate over-depreciation for calculation errors or improper adjustments.

2. 12 fully depreciated assets still in use — aggregate original cost $187,500.00 (net book value: $0) — potential impairment indicator

Suggested follow-up: Evaluate whether fully depreciated assets still in use require revised useful life estimates.

3. 2 potential duplicate assets ('Dell Latitude 5540' — same cost, same date)

Suggested follow-up: To further substantiate the finding, verify whether duplicate records represent distinct assets or data entry errors.

4. 1 asset with negative cost value (data entry error suspected)

Suggested follow-up: As a priority follow-up action, investigate negative quantities/values for returns processing, data errors, or adjustments.

V. High Severity Asset Detail

Negative Cost — Asset Detail (1 items)

Asset ID	Description	Category	Recorded Cost	Acquisition Date	Likely Cause
FA-0193	Server Rack — Data Center	IT Equipment	-$15,400.00	2024-01-18	Data entry error

Obtain the original capitalization documentation for this asset. Correct the cost to the actual acquisition amount and assess whether accumulated depreciation and the depreciation expense for the period require corresponding correction.

Depreciation Exceeds Cost — Asset Detail (2 items)

Asset ID	Description	Category	Acquisition Date	Original Cost	Accum. Depr.	Excess Amount
FA-0142	HVAC System — Building A	Building Improvements	2015-03-22	$185,000.00	$212,750.00	$27,750.00
FA-0218	Warehouse Shelving Units	Equipment	2017-08-10	$42,000.00	$46,620.00	$4,620.00

Investigate each asset for calculation errors or improper depreciation journal entries. Confirm whether excess depreciation was authorized and whether a correcting entry is required. Assets with accumulated depreciation materially exceeding cost may require write-off and removal from the register.

Duplicate Assets — Asset Detail (2 items)

Asset ID A	Asset ID B	Description	Cost	Acquisition Date	Category
FA-0087	FA-0088	Dell Latitude 5540	$1,250.00	2023-06-15	IT Equipment

Potential duplicate capitalization: $1,250.00 (if confirmed duplicate, one record requires reversal)

Evaluate whether these records represent two distinct physical assets or a single asset entered twice. If the practitioner concludes it is a duplicate, reverse the duplicate capitalization entry and corresponding accumulated depreciation. Obtaining the asset tag or serial number to corroborate the existence of both is a suggested procedure where engagement risk warrants.

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.

VI. Authoritative References

Body	Reference	Topic	Status
FASB	ASC 360-10	Property, Plant, and Equipment — Overall	Current
FASB	ASC 842-20	Leases — Lessee	Current

VII. Conclusion

Based on the automated fixed asset register analysis procedures applied, the PP&E data returned MODERATE flag density across the automated tests. Flagged assets warrant focused review as PP&E anomaly indicators, particularly depreciation estimates and useful life assumptions.

Paciolus Intelligence • Generated 23 Oct 2026 18:23 UTC • Meridian Capital Group, LLC • Period: FY 2025 (January 1 – December 31, 2025)

Limitations

This report was prepared using Paciolus Diagnostic Intelligence and is intended to support the professional judgment of the engagement practitioner. The procedures reflected herein are analytical and diagnostic in nature and do not constitute an audit, review, compilation, or attestation engagement as defined under AICPA professional standards or PCAOB auditing standards. Findings and observations require independent corroboration before conclusions may be drawn.

Practitioner information appearing on the cover of this report is provided by the user and reflects the engagement team responsible for applying professional judgment to this output. Paciolus does not review, endorse, certify, or assume responsibility for conclusions drawn by the engagement practitioner. The presence of practitioner credentials in this report does not constitute a representation by Paciolus regarding the quality or completeness of any professional engagement.

Zero-Storage Architecture: All financial data was processed in-memory during this analysis session and was not persisted to any storage medium. No client financial data is retained by Paciolus after the analysis session concludes.

This memo documents automated fixed asset register analysis testing procedures with reference to ISA 500 (Audit Evidence) and ISA 540 (Auditing Accounting Estimates). Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.